CBIC Official FAQ on Goods and Services Tax - Input Tax Credit (ITC)

CBIC FAQ: WHAT IS INPUT TAX CREDIT (ITC) UNDER GST?

Question 1: What is Input Tax Credit (ITC)?
Answer: Input Tax Credit (ITC) is the core mechanism under Goods and Services Tax (GST) that prevents cascading of taxes (tax on tax). When a registered business purchases goods or services for business purposes, the GST paid on such inward supplies is called Input Tax. The business can claim credit for this input tax against the Output Tax liability payable on its sales. In simple terms, ITC means reducing the tax paid on inputs/purchases from the tax payable on outputs/sales.

Question 2: Who is eligible to claim Input Tax Credit under GST?
Answer: Every registered taxable person under GST who purchases goods or services used or intended to be used in the course or furtherance of business is eligible to claim ITC, subject to satisfying the conditions under Section 16 of the CGST Act.

Question 3: What is the difference between Input Tax Credit and Output Tax under GST?
Answer: Input Tax Credit (ITC) is the tax paid on business purchases and inward supplies of goods/services. Output Tax is the GST collected by a seller on outward sales of goods/services. Net GST payable to the Government is calculated as: Net GST Payable = Output Tax Liability minus Eligible Input Tax Credit.

Question 4: What are the conditions for claiming Input Tax Credit under Section 16?
Answer: To claim ITC under Section 16, a registered buyer must fulfill four main conditions: (1) Possession of a valid tax invoice or debit note issued by a registered supplier; (2) Details of the invoice furnished by the supplier in GSTR-1 and communicated to the recipient in GSTR-2B under Section 37; (3) Actual receipt of the goods or services; (4) The tax charged on the supply has been actually paid to the Government by the supplier, and the buyer has filed Form GSTR-3B under Section 39.

CBIC FAQ: BLOCKED CREDITS & RESTRICTIONS UNDER SECTION 17(5)

Question 5: What is Blocked Input Tax Credit under GST Section 17(5)?
Answer: Blocked Credit refers to specific goods and services listed under Section 17(5) of the CGST Act on which Input Tax Credit is explicitly prohibited by law, even if they are purchased for business use. Key examples of blocked ITC include: (1) Motor vehicles for passenger transport with seating capacity of 13 or fewer (unless used for passenger transport, driving training, or resale); (2) Food and beverages, outdoor catering, beauty treatment, health services, life/health insurance; (3) Membership of a club, health/fitness centre; (4) Works contract services for construction of immovable property (other than plant and machinery); (5) Goods or services received for construction of immovable property on own account; (6) Goods lost, stolen, destroyed, written off, or given as gift/free sample; (7) Tax paid due to fraud, seizure, or detention under Section 74, 129, 130.

Question 6: Can ITC be claimed on works contract services for immovable property?
Answer: No. Under Section 17(5)(c), ITC is blocked on works contract services when supplied for construction of an immovable property (other than plant and machinery), except where it is an input service for further supply of works contract service.